

August 12, 2026

Medicare (Palmetto GBA, JM MAC)
Provider Appeals Department

RE: Formal Appeal of Claim Denial — Lacey Blick (MRN MUSC1449536), Claim MUSC-7F37-1

Patient	Lacey Blick (DOB 1989-07-13)
MRN	MUSC1449536
Member ID / Group	MED452021070 / GRP-92164
Claim number	MUSC-7F37-1
Date of service	2026-03-16
Procedure billed	CPT 90837 — Psychotherapy, 60 minutes with patient
Primary diagnosis	Z34.90 — Encounter for supervision of normal pregnancy, unspecified
Denied amount	\$281.72
Denial code	CARC 11 / RARC M64 — The diagnosis is inconsistent with the procedure.
Appeal deadline	2026-08-16

Dear Appeals Review Committee:

SUMMARY OF APPEAL

MUSC Health submits this first-level redetermination request to Palmetto GBA on behalf of patient Lacey Blick (MRN: MUSC5011960, Member ID: MED452021070) regarding claim MUSC-7F37-1 for a date of service of March 16, 2026. The claim was denied in full on April 18, 2026, with CARC 11 ("The diagnosis is inconsistent with the procedure") and RARC M64 ("Missing/incomplete/invalid other diagnosis"), with the payer remark stating: "The diagnosis code reported does not support the procedure billed." MUSC Health respectfully contends that the denial reflects a coding discrepancy that, upon review of the clinical record, warrants reversal and payment at the allowed amount of \$179.55.

CLINICAL BACKGROUND

Ms. Blick is a 37-year-old female patient with an active diagnosis of hypertension (ICD-10 I10), managed with Hydrochlorothiazide 25 MG, who presented on March 16, 2026, at MUSC Health Ashley River Tower, an on-campus outpatient hospital facility (place of service 22). The rendering provider, Sarah E. Whitmore, MD (NPI 1447382910), performed a 60-minute individual psychotherapy session (CPT 90837). The claim was submitted on April 1, 2026, with Z34.90 (Encounter for supervision of normal pregnancy, unspecified) listed as the primary diagnosis and R69 as the secondary diagnosis. The patient's documented history includes prior resolved pregnancies and a depression screening performed during a postnatal visit on July 16, 2020, which is consistent with an established clinical need for ongoing mental health monitoring and treatment.

BASIS FOR APPEAL

The denial is based on the assertion that the reported diagnoses do not support the psychotherapy procedure billed. MUSC Health acknowledges that Z34.90, a supervision-of-pregnancy code, is not on its face the most precise primary diagnosis to pair with CPT 90837. However, the denial also cites RARC M64, indicating that the payer identified the secondary diagnosis field as missing, incomplete, or invalid. This signals that the issue is one of coding specificity and claim data completeness rather than a determination that no medically necessary psychotherapy service was rendered.

The patient's record documents an active condition of hypertension and a prior depression screening, both of which are clinically relevant to a psychotherapy encounter. ICD-10 coding guidelines direct providers to report the condition chiefly responsible for the visit; a more precise mental health diagnosis code applicable to this encounter may not have been fully captured on the face of the claim. MUSC Health is prepared to submit corrected claim documentation reflecting the appropriate primary diagnosis code that accurately describes the clinical reason for the psychotherapy session on March 16, 2026. Under Medicare's correct coding principles, a claim should not be denied with finality when the record supports medical necessity and the deficiency is one of diagnosis code selection rather than absence of a covered service. Palmetto GBA's redetermination process exists precisely to allow for this type of clinical and coding review.

REQUESTED ACTION

MUSC Health respectfully requests that Palmetto GBA conduct a full redetermination of claim MUSC-7F37-1, including review of the supporting medical record documentation attached to this appeal. We request that the claim be approved and payment issued at the previously established allowed amount of \$179.55 for CPT 90837 as rendered by Dr. Whitmore on March 16, 2026. If the redetermination reviewer determines that a corrected claim submission is the appropriate administrative pathway, we further request written guidance to that effect so that MUSC Health may resubmit promptly and within all applicable timely filing requirements.

Respectfully submitted,

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Enclosures

- Remittance advice / explanation of payment
- Itemized claim detail (UB-04 / CMS-1500)
- Relevant clinical documentation from the medical record